LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

What Is Last Mile Funding ?

Developed by www.loanbazaaronline.com

Executive Summary & Institutional Overview

Real estate and large-scale infrastructure projects frequently encounter a severe financial bottleneck known as the **"Stalled Project Paradox."** In typical real estate development lifecycles, a project may achieve 70% to 85% physical completion, yet work grinds to a complete halt due to liquidity exhaustion. This liquidity deficit arises from a combination of cost overruns, delayed homebuyer installment collections, market absorption slowdowns, or regulatory delays. Traditional commercial banks and Housing Finance Companies (HFCs) are legally and regulatorily constrained from extending additional credit to projects where existing loans have turned into Special Mention Accounts (SMA-1/SMA-2) or Non-Performing Assets (NPAs) under Reserve Bank of India (RBI) Income Recognition, Asset Classification, and Provisioning (IRACP) norms.

Last Mile Funding (LMF)—also known as Project Completion Financing, Special Situations Real Estate Debt, or Priority Debt—is a specialized, highly structured corporate credit product designed to inject targeted debt capital into physically advanced but financially stalled real estate and infrastructure projects. The primary objective of Last Mile Funding is to bridge the final construction expenditure gap, obtain the Occupancy Certificate (OC) / Completion Certificate (CC), and unlock locked receivables and unsold inventory value.

Under the framework popularized by the Government of India's **SWAMIH Investment Fund I** (Special Window for Affordable and Mid-Income Housing) and Category II Alternative Investment Funds (AIFs), Last Mile Funding operates on a **Super-Senior Priority Charge** or **First-Pari Passu Charge** basis. By inserting a controlled Trust and Retention Account (TRA) Escrow mechanism under Section 4(2)(l)(D) of the Real Estate (Regulation and Development) Act, 2016 (RERA), Last Mile Funding ensures that 100% of newly injected debt is spent strictly on LIE-certified (Lender's Independent Engineer) civil construction, bypassing historical liabilities and ring-fencing cash flows until the completion debt is fully amortized.

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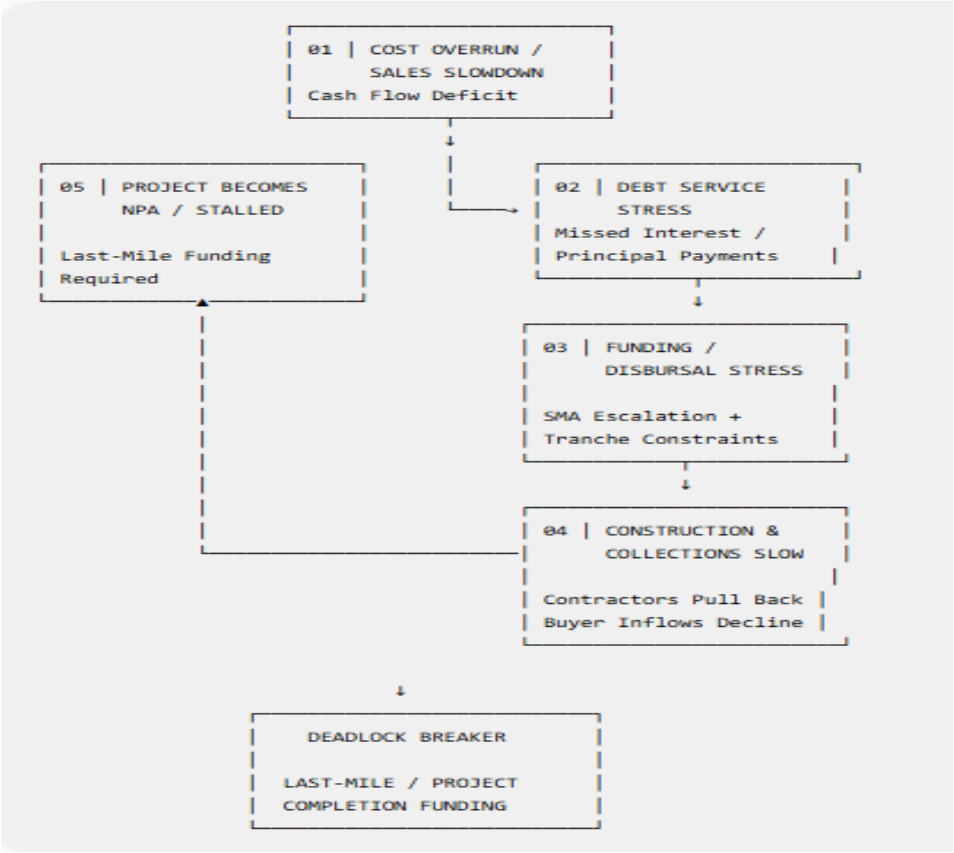
Module 1: Theoretical Foundations & Product Overview

The Stalled Project & Liquidity Bottleneck Paradox

The real estate construction cycle in India is characterized by severe cash-flow asymmetry. The initial phases of a real estate project—land acquisition, municipal plan approvals, environmental clearances, and early excavation—are funded predominantly through promoter equity, land owner joint development agreements (JDAs), and initial pre-sales booking advances. As civil construction advances to the superstructure phase, developers rely heavily on bank construction finance and ongoing homebuyer milestone payments.

However, when a project experiences a market shock (such as input material inflation, demand contraction, or structural delays), a dangerous compounding loop occurs:

extProjectDelayextHomebuyerCollectionDefaultextBankDisbursalFreezeextCivilWorkStoppageextNPAClassification



Standard banking channels cannot fund this gap because RBI Master Directions prohibit lending to NPA projects or providing additional debt to service existing overdue interest without formal debt restructuring. Last Mile Funding solves this paradox by introducing **Special Situation Debt**, where the funder evaluates the project purely on its **Net Present Value of Unsold Inventory and**

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Pending Receivables vs. Cost-to-Complete, rather than the developer's historical balance sheet credit rating.

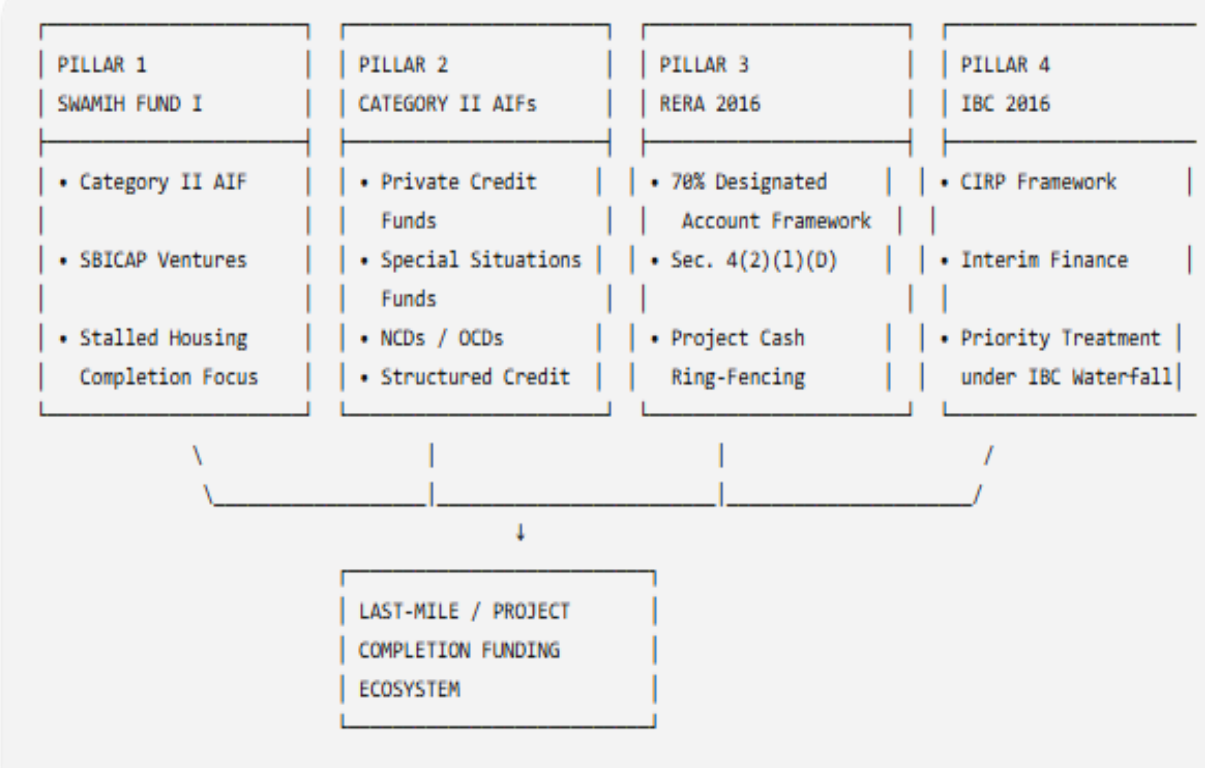
Priority Debt & Super-Senior Priority Charge Philosophy

The foundational legal premise of Last Mile Funding is the **Priority Charge**. Existing senior lenders (banks or HFCs) who hold an existing mortgage on the project land and structure face total capital erosion if the project remains incomplete. To induce a Last Mile Funder (such as SWAMIH AIF or a Private Credit Fund) to inject fresh capital, existing lenders execute an **Intercreditor Agreement (ICA)** or **Subordination Cession Agreement**.

Under this agreement, existing lenders consent to: 1. **Priority Servicing**: The Last Mile Debt holds the first right of cash flow extraction from all project collections until principal and interest are fully paid. 2. **First Charge on Cash Flows**: All homebuyer collections from both sold receivables and unsold inventory are deposited directly into a designated RERA Escrow Master Account controlled by the Debenture Trustee / Last Mile Funder. 3. **Pari-Passu / Super-Senior Asset Mortgage**: Last Mile Funders receive an exclusive first mortgage on unencumbered units/phases or a super-senior priority charge over the entire project asset base.

Institutional Framework in India

Last Mile Funding in India is governed by four primary institutional and regulatory pillars:

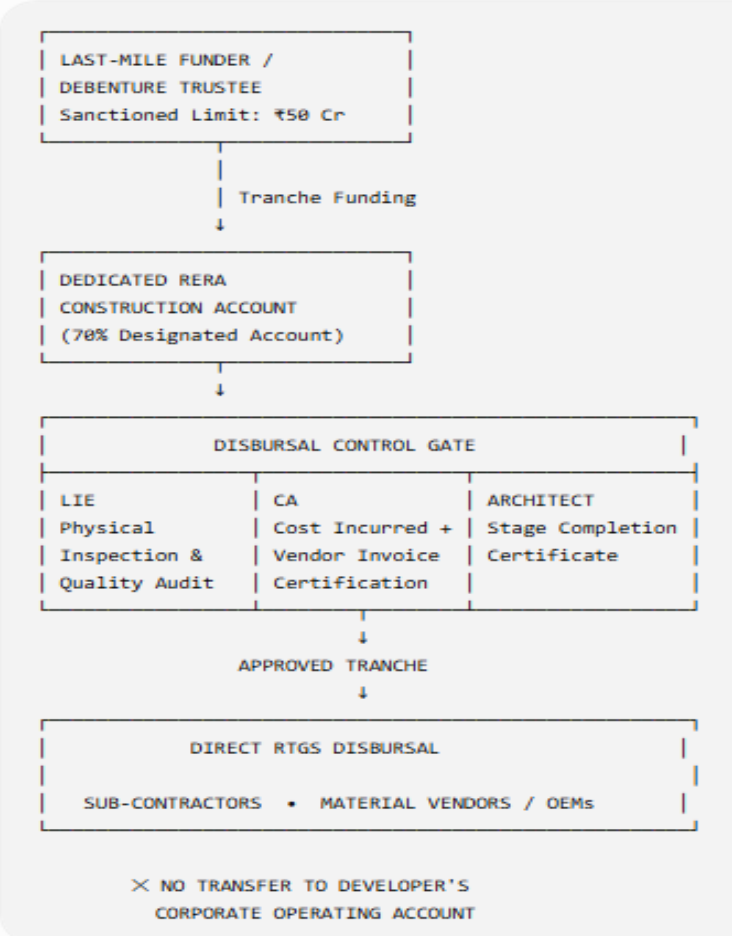


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Module 2: How the Product Structure Works (Structural Architecture & Disbursal Mechanics)

Tranche-Based / Milestone-Linked Disbursal Waterfall

Last Mile Funding strictly prohibits lump-sum, upfront capital disbursals. Capital is released in controlled **Tranches** aligned directly with LIE-verified civil construction milestones.



RERA Escrow & Trust and Retention Account (TRA) Mechanics

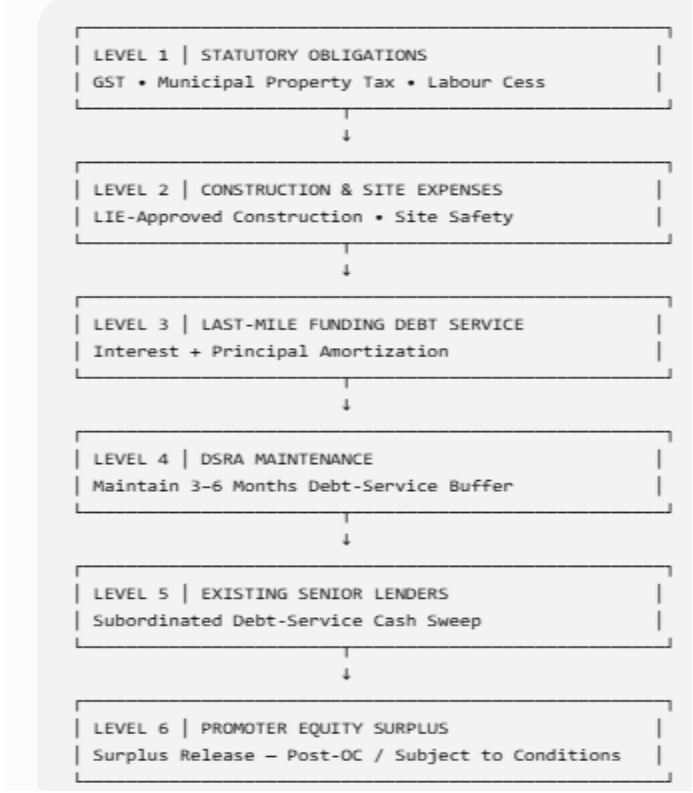
To enforce absolute financial ring-fencing, a three-tier **Trust and Retention Account (TRA)** structure is established with an Authorised Dealer Bank and a SEBI-registered Debenture Trustee:

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1. **Master Collection Escrow Account**: All homebuyer payments, GST collections, and booking advances are deposited into this account. No withdrawals are permitted except via automated sweep.
2. **RERA Dedicated Construction Escrow Account (70%)**: Pursuant to Section 4(2)(l)(D) of RERA 2016, 70% of all gross collections are automatically swept into this account. Funds are released strictly for:
   - Direct payment of construction invoices (cement, steel, MEP, contractor bills).
   - Municipal approval fees and statutory utility charges.
   - Servicing Last Mile Funding debt interest and principal.
3. **Unencumbered / Developer Escrow Account (30%)**: The remaining 30% is swept to cover marketing expenses, broker commissions, overheads, and administrative costs—subject to zero default in the 70% account.

Priority Cash Flow Waterfall

All cash inflows into the Master Escrow Account are distributed strictly according to a legally binding **Payment Waterfall**:



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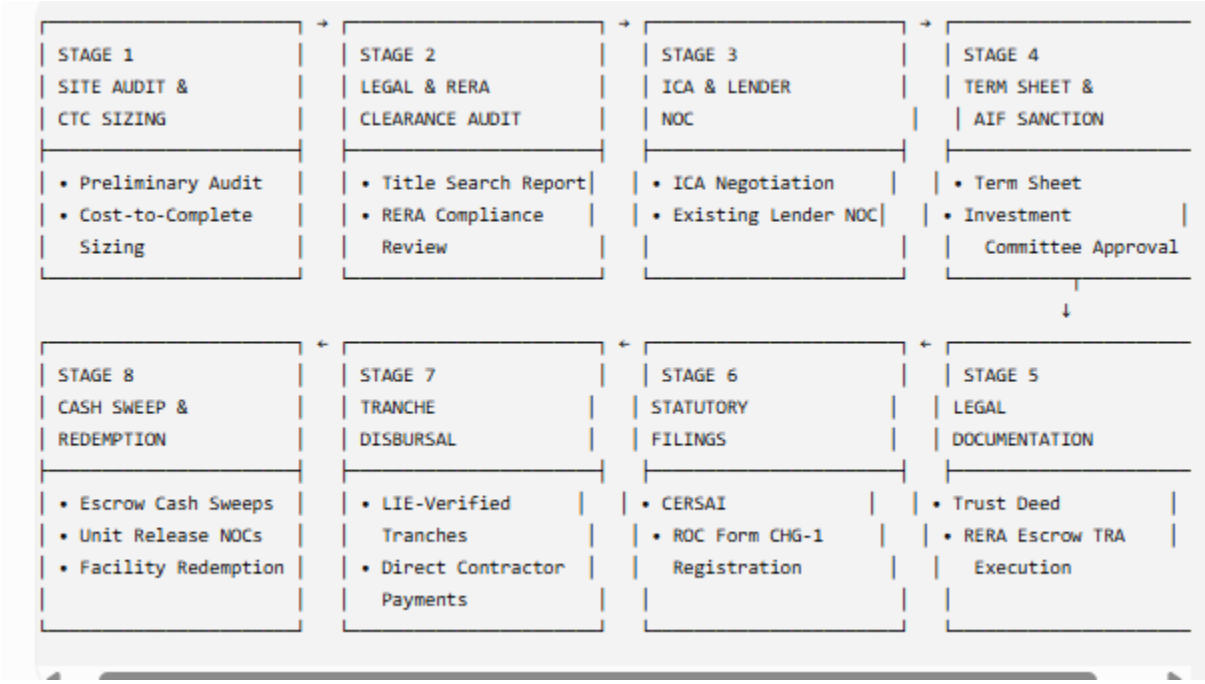
Comparative Capital Matrix

The following table contrasts Last Mile Funding with traditional corporate credit structures:

Feature / Metric	Last Mile Funding (SWAMIH / AIF)	Standard Construction Finance	Mezzanine Real Estate Debt	Loans Against Property (LAP)
Primary Target Asset	Stalled / Delayed Real Estate (70%+ Complete)	Early-Stage / Fresh Construction	Growth Capital / Land Refinancing	Fully Completed Real Estate
Lending Philosophy	Project Cash Flow & Cost-to-Complete	Balance Sheet + Land Mortgage	High-Yield Risk Debt	Physical Collateral Value
Charge Priority	Super-Senior / Priority First Charge	First Charge on Land & Building	Second Charge / Junior Subordinated	Exclusive First Mortgage
NPA Project Eligibility	**Eligible** (Under SWAMIH/Special AIF)	Ineligible (Strict RBI IRACP Bar)	Ineligible for Commercial Banks	Ineligible for Defaulted Debt
Disbursal Mode	Controlled Tranches to Contractors	Milestone Tranches to Developer	Lump-sum / Flexi Drawdowns	One-time Full Disbursal
Indicative Coupon Rate	12.00% – 15.00% p.a. (SWAMIH)	9.50% – 12.50% p.a.	18.00% – 24.00% p.a.	9.00% – 11.50% p.a.
Security Coverage	GDV Cover $\geq 1.50x - 2.$	Asset Cover $\geq 1.75x$	GDV Cover $\geq 2.00x$	Real Estate Value $\geq 2.00x$

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Module 3: Operational Lifecycle & 8-Stage Execution Waterfall



Stage 1: Preliminary Site Audit & Cost-to-Complete Sizing

The Last Mile Funder appoints a Lender’s Independent Engineer (LIE) and an independent Chartered Accountant (CA) firm to conduct a rigorous techno-economic viability (TEV) audit. The audit assesses: - Physical progress versus financial expenditure. - The exact **Cost-to-Complete (CTC)** required to obtain the Occupancy Certificate (OC). - Quality of civil structures, raw material stock on site, and contractor liabilities. - Reconciliation of sold units, pending homebuyer receivables, and gross development value (GDV) of unsold units.

Stage 2: Title Search Report (TSR) & RERA Regulatory Clearance Audit

Independent legal counsel conducts a comprehensive 30-year Title Search to verify clear, marketable title to the project land. Counsel reviews: - Municipal sanctioned building plans, Height Clearances (AAI), Environmental Clearance (EC), and Fire NOCs. - RERA registration status, extension approvals, and homebuyer complaint status before RERA Authorities / NCLT. - Verification that no attachment orders exist from Tax Authorities or Enforcement Directorate.

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Stage 3: Intercreditor Agreement (ICA) & Existing Lender NOC Negotiations

Where existing banks/HFCs hold prior mortgages, negotiations are conducted to execute a tripartite **Intercreditor Agreement (ICA)**. The ICA defines: - The priority charge ceded to the Last Mile Funder. - Waiver of default clauses by existing lenders during the construction completion window. - The exact cash flow sharing ratio once the Last Mile Funding debt is fully amortized.

Stage 4: Term Sheet Finalization & Investment Committee Sanction

Upon successful ICA negotiation and TEV audit, the funder issues a binding Term Sheet specifying facility limits, coupon rates, DSRA requirements, and disbursal conditions precedent (CPs).

Stage 5: Legal Documentation, Trust Deed & RERA Escrow TRA Execution

Legal agreements executed include: - Debenture Trust Deed (DTD) / Facility Agreement. - Mortgage Deed (Section 58(f) Equitable Mortgage). - Deed of Hypothecation over project receivables. - Irrevocable Power of Attorney (PoA) in favor of the Debenture Trustee. - Tripartite Escrow TRA Agreement with the AD Cat-I Escrow Bank.

Stage 6: Statutory Filings (CERSAI & ROC Form CHG-1 Registration)

Pursuant to Section 77 of the Companies Act, 2013, the charge created in favor of the Debenture Trustee/Lender is registered with the Registrar of Companies (ROC) via **Form CHG-1** within 30 days. Simultaneously, the charge is registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest (**CERSAI**) portal.

Stage 7: LIE-Verified Tranche Disbursal Waterfall

Disbursals occur in milestone-linked tranches. Before each release, the LIE conducts a physical inspection, verifies contractor measurement sheets, and certifies stage completion. Funds are wired directly from the RERA Escrow Account to vendor accounts.

Stage 8: Escrow Cash Sweeps & Facility Redemption

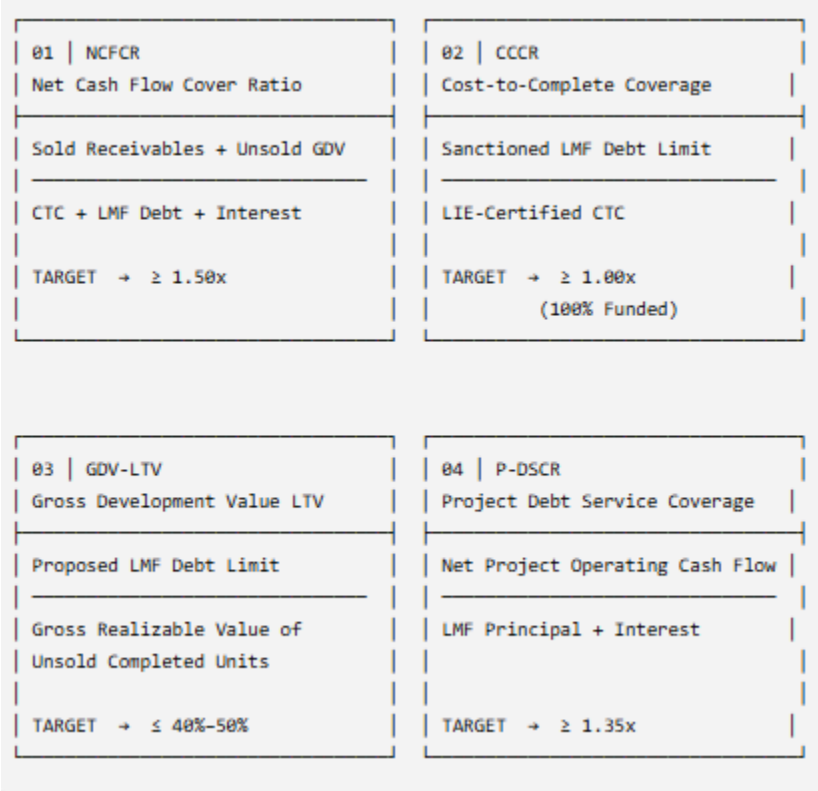
As construction nears completion, new sales and receivables flow into the Master Escrow Account. The Debenture Trustee executes mandatory cash sweeps to service interest, build DSRA buffers, and amortize principal. Upon full debt repayment, the lender issues a No Objection Certificate (NOC) and releases the mortgage.

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Module 4: Underwriting Framework, Eligibility Ratios & Risk Scorecards

Quantitative Underwriting Ratios

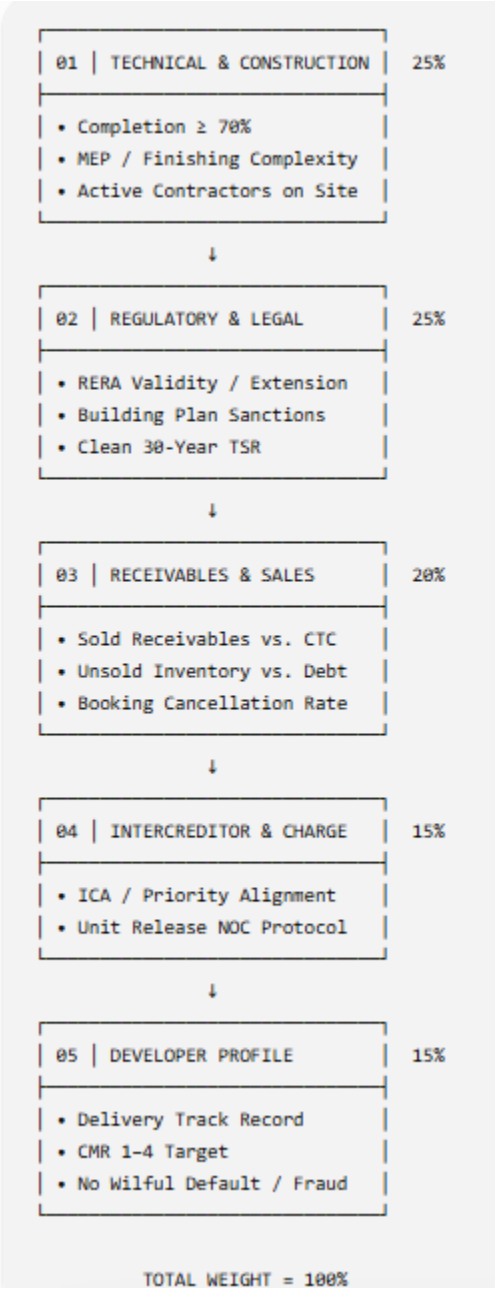
Last Mile Funding underwriting relies on project-level quantitative ratios rather than corporate balance sheet leverage:



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Comprehensive 5-Dimension Risk Scorecard

Lenders score projects across five risk dimensions before committing capital:

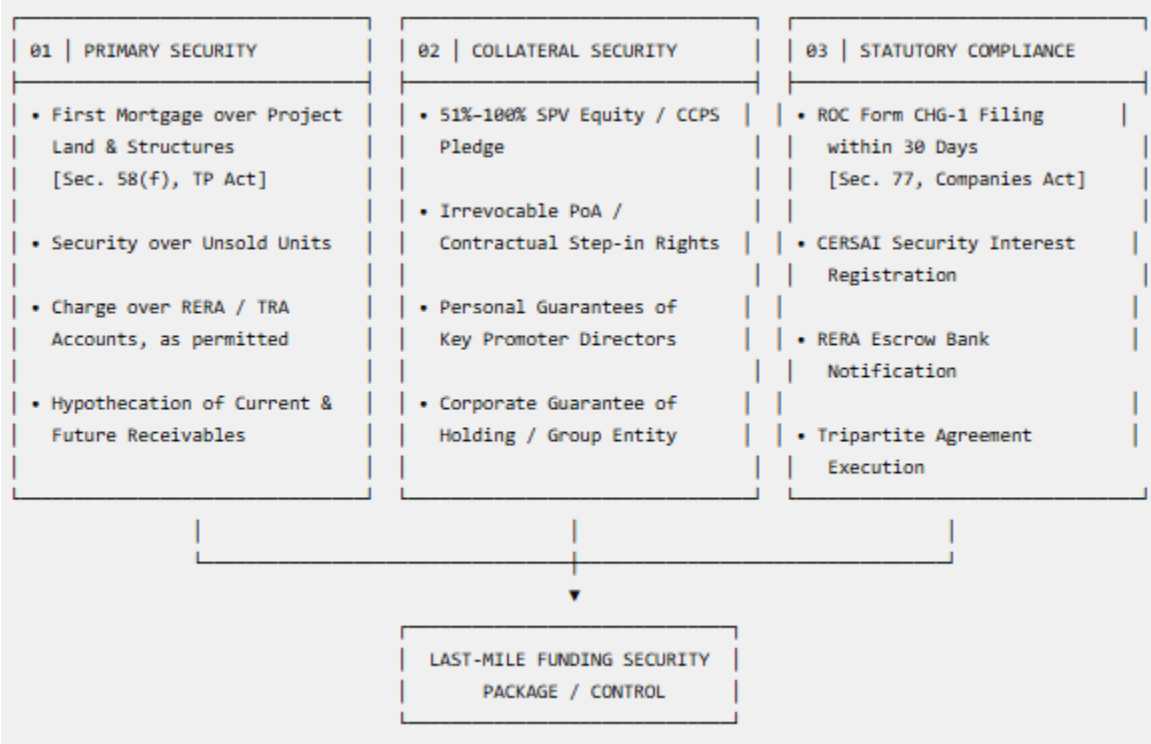


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Module 5: Security Architecture, Documentation & Legal Covenants

Primary & Collateral Security Package

Last Mile Funding transactions employ a multi-layered security architecture designed to enforce exclusive cash control and asset possession upon default:



Essential Legal Documentation Checklist

To ensure absolute enforceability, transaction counsel drafts a comprehensive suite of legal agreements:

1. **Debenture Trust Deed (DTD) / Master Facility Agreement**: Defines loan terms, interest rates, disbursal conditions precedent, representations, warranties, and events of default.
2. **Intercreditor Agreement (ICA) / Cession of Priority Deed**: Executed between the Last Mile Funder, existing senior lenders, and the developer. Legalizes the super-senior priority charge over project cash flows.
3. **Escrow & Trust and Retention Account (TRA) Agreement**: Executed with an AD Cat-I bank defining auto-sweep rules, RERA 70:30 allocation, and LIE-certified withdrawal permissions.

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4. **Deed of Mortgage & Hypothecation**: Establishes a registered or equitable mortgage over land/buildings and creates a charge on current assets and receivables.
5. **Irrevocable Step-in Rights Agreement**: Grants the lender/trustee the immediate legal right to appoint a third-party Project Management Consultant (PMC) or developer to complete construction upon uncured promoter default.

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Module 6: Indicative Tenure, Pricing Mechanics, WACC & Tax Shields

Indicative Tenure & Moratorium Framework

Last Mile Funding facilities are structured with customized tenures aligned directly with construction schedules and sales absorption cycles:

- **Indicative Facility Tenure**: **36 Months to 72 Months (3 to 6 Years)**.
- **Principal Moratorium / Grace Period**: **18 Months to 36 Months**. During the moratorium, no principal amortization occurs; 100% of available cash flows are dedicated to civil construction.
- **Interest Servicing Options**:
  - *Option A (Monthly Cash Servicing)*: Interest serviced monthly from the RERA 70% Escrow Account if receivables permit.
  - *Option B (Compounded / Pay-If-You-Can - PIK)*: Unserviced interest is capitalized into the loan principal during construction and amortized post-OC.

Commercial Pricing Mechanics & IRR Expectations

Pricing reflects the special situation nature of stalled project debt and varies by funding source:

1. **Government-Backed Funds (e.g., SWAMIH AIF I)**:
   - **Coupon Rate**: **12.00% to 15.00% p.a. Simple/Compounded Interest**.
   - **Upfront Fees**: 1.00% to 1.50% processing fee.
   - Objective: Impact-oriented capital preservation with modest returns.
2. **Private Category II AIFs & Special Situation Debt Funds**:
   - **Target IRR**: **16.00% to 22.00% p.a. Gross IRR**.
   - **Structure**: Base coupon of 12.00%–14.00% p.a. + Redemption Premium / Equity Kicker (linked to project profit surplus).

Tax Shields, Accounting & Capitalization

1. Section 36(1)(iii) Income Tax Shield

Under Section 36(1)(iii) of the Income Tax Act, 1961, interest paid on capital borrowed for business purposes is fully deductible from taxable corporate income once the project generates

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taxable real estate revenues under the Percentage of Completion Method (PoCM) / Completed Contract Method (CCM).

$$extTaxShieldSavings = extGrossInterestPaidimesextCorporateTaxRate(au = 25.168\%)$$

2. Ind AS 23 Borrowing Cost Capitalization

Under Indian Accounting Standard (Ind AS) 23, borrowing costs directly attributable to the acquisition, construction, or production of a qualifying asset (real estate under construction) are capitalized as part of the **Work-in-Progress (WIP) Inventory Cost**. This prevents immediate P&L erosion during the construction moratorium.

3. 100% GST Input Tax Credit (ITC)

While output GST on affordable residential units is charged at concessional rates (1% without ITC for affordable housing, 5% for non-affordable), works contract services and raw material purchases (cement, steel @ 18%–28% GST) generate Input Tax Credit (ITC) that offsets vendor tax liabilities.

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Module 7: Suitable Industries, Business Profiles & Market Alignment

Target Asset Classes & Sectors

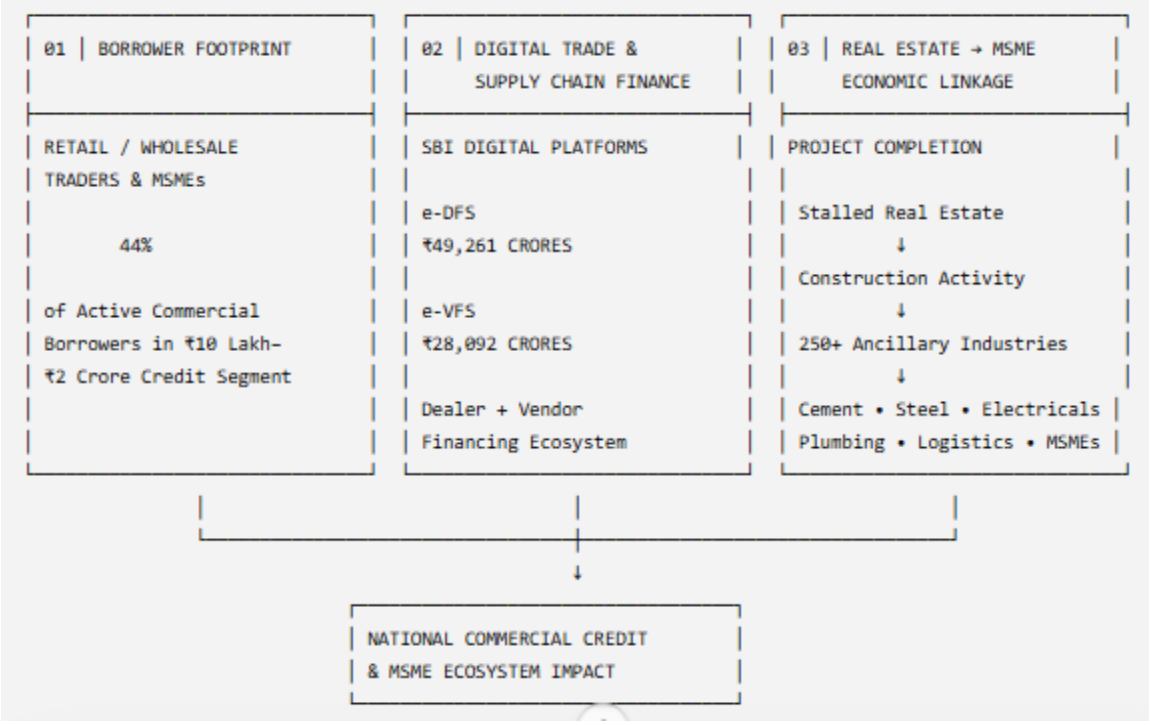
Last Mile Funding is uniquely tailored for capital-intensive real estate and infrastructure sectors experiencing completion bottlenecks:

1. **Residential Housing Projects (Affordable & Mid-Income)**:
   - Projects registered under RERA where physical construction is $\geq 70\%$ complete.
   - Units priced under $ ext{INR } 1.50 ext{ Crores}$ in Tier-1 cities or $ ext{INR } 75 ext{ Lakhs}$ in Tier-2/3 cities.
   - Positive net cash flow projects with substantial unsold inventory or pending buyer receivables.
2. **Commercial Office Towers & IT/ITeS Parks**:
   - Commercial developments at the façade/MEP/fit-out stage.
   - Pre-leased commercial assets requiring last-mile completion capital to achieve Agreement to Lease execution.
3. **Urban Redevelopment & Slum Rehabilitation (SRA) Projects**:
   - High-density urban projects in Mumbai, MMR, and NCR where rehabilitation components are complete and sale components require finishing debt.
4. **Industrial Warehousing & Logistics Parks**:
   - Logistics hubs requiring final road connectivity, solar rooftop integration, or specialized cold-chain completion capital.

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National Commercial Credit Footprint & Market Context

The systemic importance of structured real estate and commercial debt is highlighted by national commercial credit distribution metrics across Indian banking and NBFC sectors:



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Module 8: Key Advantages, Strategic Limitations & Insolvency Resolution (IBC)

Strategic Advantages

Last Mile Funding offers transformative benefits across all project stakeholders:

1. **For Developers & Promoters**:
   - **Prevents Value Destruction**: Saves the project from insolvency proceedings under NCLT / CIRP.
   - **Unlocks Promoter Equity**: Unlocks future profit surpluses upon project completion and OC issuance.
   - **Restores Market Reputation**: Restores buyer trust and CIBIL commercial credit standing.
2. **For Homebuyers**:
   - **Guarantees Possession**: Delivers long-delayed homes without requiring additional buyer cash infusions.
   - **RERA Compliance**: Enforces 100% construction accountability under RERA Section 4(2)(l)(D).
3. **For Existing Senior Lenders (Banks / HFCs)**:
   - **NPA Recovery**: Turns non-performing asset provisions back into performing loan recoveries once homebuyer collections resume.
   - **Asset Upgrade**: Enhances underlying land mortgage value from an incomplete structure to a fully marketable, OC-certified asset.

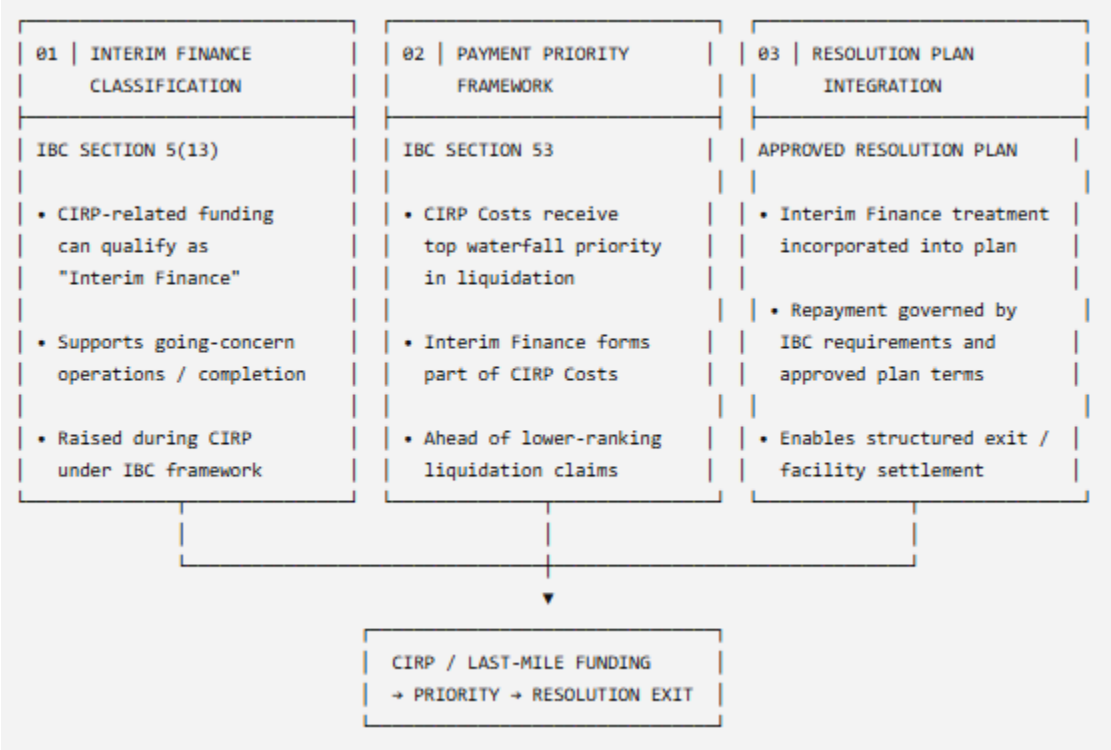
Strategic Limitations & Risk Factors

1. **Intercreditor Negotiation Friction**: Existing lenders may resist ceding priority charges or ceding escrow control to the Last Mile Funder, leading to prolonged deal execution timelines (3 to 6 months).
2. **Cost of Special Situation Capital**: Private AIF Last Mile Funding carries coupon/IRR expectations of 16.00%–20.00% p.a., which can erode promoter equity margins if construction delays persist.
3. **Escrow Control Rigidity**: 100% cash flow control by the Debenture Trustee prevents developers from diverting cash to other group entities or new land acquisitions.

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Interplay with the Insolvency and Bankruptcy Code, 2016 (IBC)

When a real estate company enters Corporate Insolvency Resolution Process (CIRP) under Section 7 of the IBC, Last Mile Funding can be injected as **Super-Priority Interim Finance** under Section 5(13) of the Code:



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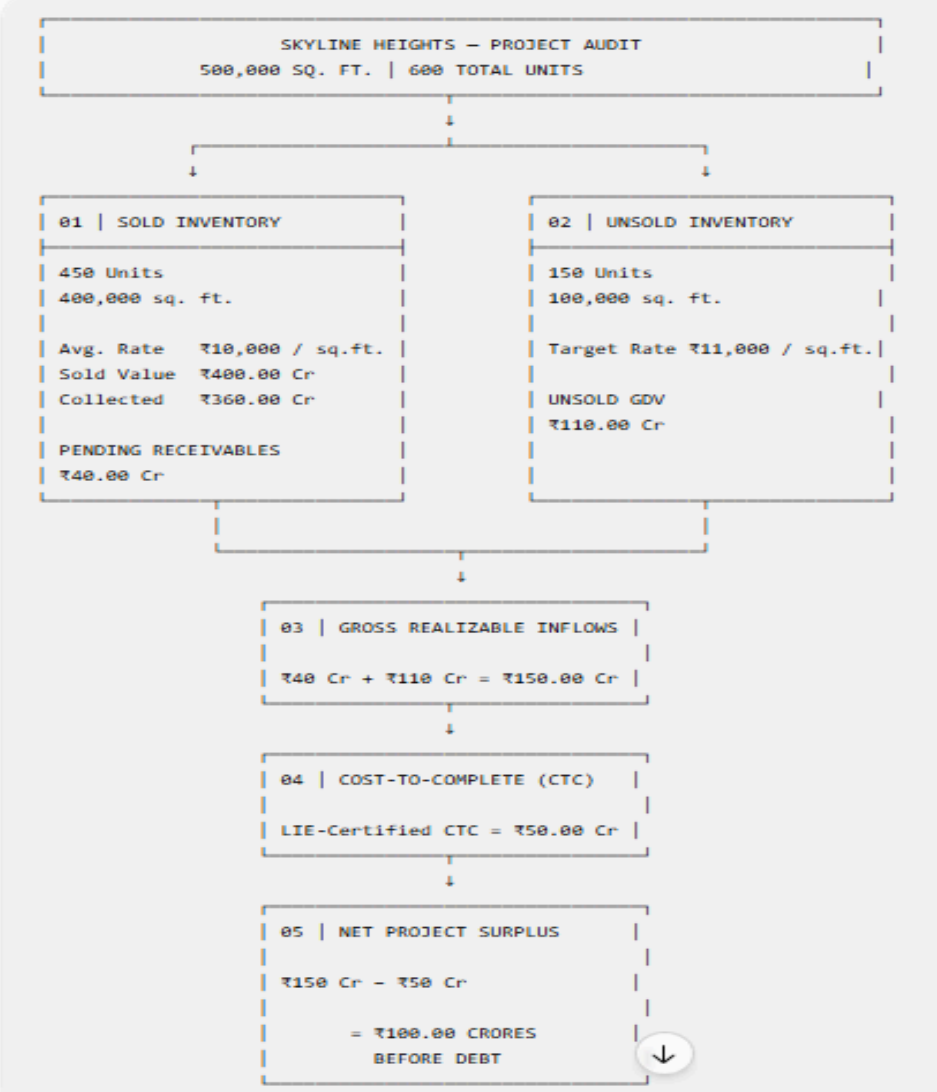
Module 9: Comprehensive Real-World Case Study (Mumbai Landmark Infra & Developers Pvt. Ltd. - Project “Skyline Heights”)

Background & Baseline Problem Statement

Mumbai Landmark Infra & Developers Pvt. Ltd. (MLIDPL) is developing a premium mid-income residential project titled **“Skyline Heights”** in Mulund, Mumbai. The project comprises 3 residential towers with 600 total units (500,000 sq. ft. saleable area).

- **Project Status**: 75% physically complete. Civil superstructure is complete, but façade, elevators, MEP fittings, and internal finishes are stalled.
- **Original Capital Structure**:
  - Promoter Equity Injected: $ ext{INR } 80.00 ext{ Crores}$
  - Senior Bank Debt (Bank of India Consortium): $ ext{INR } 120.00 ext{ Crores}$
  - Homebuyer Collections Received: $ ext{INR } 150.00 ext{ Crores}$ (from 400 sold units)
  - **Total Cost Incurred**: $ ext{INR } 350.00 ext{ Crores}$
- **The Stalled Crisis**: Due to a 20% spike in steel and cement prices during construction, the actual construction cost expanded from $ ext{INR } 380 ext{ Crores}$ to $ ext{INR } 430 ext{ Crores}$. The project ran out of liquidity with $ ext{INR } 50.00 ext{ Crores}$ of remaining construction expenditure required.
- **Consequences**:
  - Bank loan turned into SMA-2 and subsequently NPA.
  - Bank froze further tranche disbursals.
  - Homebuyers stopped progress-linked installment payments ($ ext{INR } 40.00 ext{ Crores}$ of pending sold receivables remained locked).
  - Work stopped for 14 months; homebuyers filed NCLT petitions under Section 7 of IBC 2016.

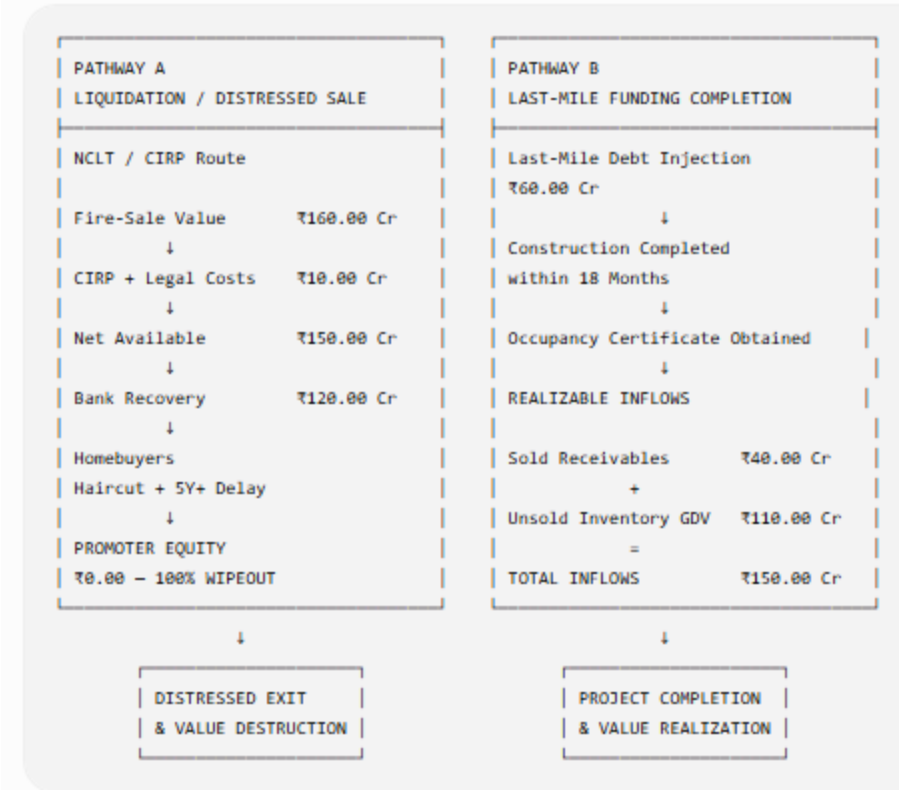
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The Last Mile Funding Solution (SWAMIH / AIF Priority Debt)

MLIDPL approached a Category II Special Situations Real Estate Debt AIF (*SWAMIH / LoanBazaar Partner Fund*) for Last Mile Funding. The AIF executed an Intercreditor Agreement (ICA) with Bank of India Consortium: 1. **Sanctioned Last Mile Debt Limit**: $ ext{INR } 60.00 ext{ Crores}$ (including $ ext{INR } 50.00 ext{ Crores}$ CTC + $ ext{INR } 10.00 ext{ Crores}$ interest & contingency buffer). 2. **Pricing & Tenure**: 12.50% p.a. Compounded Annual Coupon; 36-Month Tenure with 24-Month Principal Moratorium. 3. **Security**: First Priority Charge on 100% project cash flows via RERA Escrow TRA Account + Exclusive Mortgage on 150 unsold units.

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Mathematical Cash Waterfall Execution (Pathway B)

Over the 36-month construction and sales completion horizon, total cash inflows of $ ext{INR } 150.00 ext{ Crores}$ were processed through the RERA Escrow TRA Account according to the statutory waterfall:

$$ext{Gross Project Cash Inflows} = ext{INR} 150.00 ext{ Crores}$$

Step 1: Statutory GST & Municipal Taxes Paid

$$ext{GST} (5\% ext{ on Unsold Revenue}) + ext{Property Tax} = ext{INR} 7.50 ext{ Crores}$$

Step 2: LIE-Certified Civil Construction Invoices Paid

$$ext{Actual Construction Cost} - ext{to} - ext{Complete} = ext{INR} 50.00 ext{ Crores}$$

Step 3: Last Mile Funding Debt Servicing (SWAMIH / AIF Priority Debt)

$$ext{Principal Repayment} = ext{INR} 60.00 ext{ Crores}$$

$$ext{24} - ext{Month Cumulative Interest} @ 12.50\% p.a. = ext{INR} 15.00 ext{ Crores}$$

$$ext{Section } 36(1)(iii) ext{ Income Tax Shield} (au = 25.168\%) = - ext{INR} 3.78 ext{ Crores}$$

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$$extNetPost - TaxLastMileDebtOutflow = extINR71.22extCrores$$

Step 4: Senior Bank Debt Servicing (Bank of India Consortium)

extExistingBankPrincipalRepayment=extINR120.00extCrores ext100%FULLBANKRECOVERY!

Step 5: Surplus Equity Released to Promoter Developer

extRemainingSurplusEquity=150.00−7.50−50.00−71.22−120.00=+extINR13.78extCRORES



Strategic Financial Conclusion

By executing Option B (Structured Last Mile Funding), **MLIDPL avoided total promoter equity wipeout**, fully paid off its defaulted bank loan of $ ext{INR } 120 ext{ Crores}$, delivered homes to 600 families, and retained a net post-tax profit surplus of $extINR13.78extCrores$!

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Module 10: Professional Certification Examination & Detailed Rationales

This examination evaluates institutional mastery of Last Mile Funding, RERA escrow mechanics, LIE audits, tax shields, and IBC priority debt legal provisions.

Question 1

What is the core prerequisite for a stalled real estate project to qualify for Last Mile Funding under the SWAMIH Investment Fund framework? - A) The project must be 100% unencumbered without any existing bank mortgages. - B) The project must be physically advanced (typically $\geq 70\%$ complete), RERA registered, net cash flow positive, and require finishing capital to obtain an Occupancy Certificate. - C) The promoter must have a CIBIL score above 850 and zero corporate debt. - D) The project must be fully commercial without any residential housing units. *Answer: B*
Rationale: SWAMIH and Special Situation Last Mile Funds specifically target physically advanced ($\geq 70\%$), RERA-registered residential projects that are net cash flow positive (sales receivables > cost to complete) but stuck due to liquidity gaps.

Question 2

How does a Last Mile Funder achieve a priority repayment charge over existing senior lenders who already hold a first mortgage on the project? - A) By unilaterally cancelling the existing lenders' mortgage deeds at the Sub-Registrar office. - B) By executing a legally binding Intercreditor Agreement (ICA) / Cession of Priority Deed where existing lenders consent to a super-senior first charge on project escrow cash flows. - C) By paying off 100% of the existing lenders' debt prior to starting construction. - D) By filing a writ petition in the High Court under Article 226. *Answer: B*
Rationale: Priority charge is established through an ICA or Subordination Cession Deed wherein existing lenders contractually agree that fresh Last Mile Debt will be serviced first from project collections before any funds flow to historic debt.

Question 3

Under Section 4(2)(l)(D) of RERA 2016, what percentage of project collections must be deposited into a dedicated escrow account, and how does Last Mile Funding utilize this? - A) 100% of collections; used exclusively for promoter dividends. - B) 50% of collections; used for marketing and corporate overheads. - C) 70% of collections; swept into a dedicated RERA Construction Escrow Account to pay LIE-certified construction invoices and debt servicing. - D) 20% of collections; held by municipal authorities. *Answer: C*
Rationale: RERA Section 4(2)(l)(D) mandates that 70% of all buyer collections be ring-fenced in a

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dedicated escrow account for construction and land costs, providing the exact legal mechanism for Last Mile Funders to control cash flow.

Question 4

What is the primary role of a Lender's Independent Engineer (LIE) in a Last Mile Funding transaction? - A) To sell unsold residential units to retail homebuyers. - B) To conduct periodic physical site audits, verify measurement sheets, certify Cost-to-Complete, and authorize tranche-based construction disbursals. - C) To represent the developer in tax court hearings. - D) To audit the developer's personal income tax returns. *Answer: B*
Rationale: The LIE acts as the technical eyes and ears of the lender, ensuring that every rupee of Last Mile Debt disbursed is physically converted into verified construction progress on site.

Question 5

What is the Cost-to-Complete Coverage Ratio (CCCR) benchmark required for a Last Mile Funding sanction? - A) $ ext{CCCR} 0.50x$. - B) $ ext{CCCR} 1.00x$ (meaning the sanctioned debt facility 100% covers the LIE-certified remaining construction cost). - C) $ ext{CCCR} = 0.10x$. - D) $ ext{CCCR}$ is irrelevant in real estate debt. *Answer: B*
Rationale: CCCR must be $\geq 1.00x$ so that the Last Mile Funding facility fully guarantees project completion to the Occupancy Certificate stage without relying on uncommitted future sales.

Question 6

If a corporate developer enters Corporate Insolvency Resolution Process (CIRP) under Section 7 of the IBC 2016, how is Last Mile Funding treated under Section 5(13)? - A) Classified as unsecured equity with zero recovery priority. - B) Classified as "Interim Finance", receiving absolute super-priority repayment under Section 53 above all secured financial creditors and tax dues. - C) Automatically forfeited to the Insolvency Bankruptcy Board of India. - D) Converted into mandatory equity shares of the Resolution Professional. *Answer: B*
Rationale: Under IBC Section 5(13), debt raised during CIRP to complete construction is classified as Interim Finance and holds top priority in the Section 53 waterfall.

Question 7

What statutory filing must be completed within 30 days of executing a Last Mile Funding mortgage charge under the Companies Act, 2013? - A) Form MGT-14. - B) ROC Form CHG-1 filing with the Registrar of Companies and CERSAI asset registration. - C) Form AOC-4. - D) Income Tax Form 26AS. *Answer: B*
Rationale: Section 77 of the Companies Act, 2013 mandates that every corporate charge created on company assets must be registered via ROC Form CHG-1 within 30 days to perfect legal security.

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Question 8

How does Section 36(1)(iii) of the Income Tax Act, 1961 benefit a corporate developer utilizing Last Mile Funding? - A) It provides a 100% tax exemption on gross homebuyer sales revenue. - B) It allows interest paid on Last Mile Debt to be fully deducted from taxable corporate income, creating a tax shield savings of $ ext{Gross Interest} imes ext{Tax Rate } (25.168%)$. - C) It eliminates the requirement to pay GST on cement purchases. - D) It grants free land to affordable housing developers. *Answer: B*
Rationale: Section 36(1)(iii) permits full tax deduction of business borrowing interest, effectively reducing the net post-tax cost of Last Mile Funding debt by 25.168%.

Question 9

What is a "Step-in Right" in the context of Last Mile Funding legal documentation? - A) The right of homebuyers to change their apartment floor plans. - B) The legal right of the Debenture Trustee/Lender to step in and replace the developer with a third-party Project Management Consultant (PMC) if the developer defaults on construction milestones. - C) The right of municipal authorities to increase property taxes. - D) The right of contractors to double their labor charges. *Answer: B*
Rationale: Step-in rights allow the lender to take over project execution management upon uncured default, ensuring that construction continues seamlessly to completion.

Question 10

Under Indian Accounting Standard (Ind AS) 23, how are borrowing costs treated during the construction moratorium period of a real estate project? - A) Expensed immediately as an operational loss in the P&L statement. - B) Capitalized as part of the Work-in-Progress (WIP) Inventory Asset cost until the project is ready for its intended sale. - C) Written off against promoter equity share capital. - D) Transferred to the Reserve Bank of India. *Answer: B*
Rationale: Ind AS 23 mandates borrowing cost capitalization into qualifying WIP inventory assets during active construction, preserving corporate P&L stability until revenue recognition occurs.

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